
UNIT 16 ADVERTISING

Structure

- 16.0 Introduction
- 16.1 Learning Outcomes
- 16.2 What is Advertising?
 - 16.2.1 Definition and Need
 - 16.2.2 Evolution of Advertising
 - 16.2.3 Advertising, Publicity and Propaganda
 - 16.2.4 Objectives of Advertising
 - 16.2.5 Advantages and Limitations of Advertising
- 16.3 Media for Advertising
 - 16.3.1 Print Advertising
 - 16.3.2 Television Advertising
 - 16.3.3 Radio Advertising
 - 16.3.4 Online Advertising and New Media
 - 16.3.5 Outdoor Advertising
 - 16.3.6 Other Media
- 16.4 Advertising Techniques
 - 16.4.1 Above the Line Advertising
 - 16.4.2 Below the Line Advertising
 - 16.4.3 Through the Line Advertising
- 16.5 Different Types of Advertising Appeals
- 16.6 Advertising Communications: Basic Concepts
 - 16.6.1 Information Processing Model
 - 16.6.2 AIDA and DAGMAR Models
 - 16.6.3 Push and Pull Strategy
 - 16.6.4 What is Brand?
 - 16.6.5 Slogans, Jingles, Trademarks, Logo, Mascot
 - 16.6.6 USP
- 16.7 The Advertising Management Process
 - 16.7.1 Advertising Strategy
 - 16.7.2 Strategy Implementation
 - 16.7.3 Assessing Advertising Effectiveness
- 16.8 Let Us Sum Up
- 16.9 Further Readings
- 16.10 Check Your Progress: Possible Answers

16.0 INTRODUCTION

Advertising is considered as a creative commercial message aimed at selling services or products. It can also be used to increase sales or publicise social messages. It is the lifeblood of media for their survival. At the same time, there is a general belief that advertising is a waste of time, money and resources. Audiences of different mass media would generally prefer freedom from advertising but as students of advertising you must learn to romance with advertising just as shown in some Indian films. Watch these ads closely, connect with the ad characters, jingle, slogan and advertising locations. When you are doing this you connect with the brand emotionally, start loving it and build a long lasting relationship, adore the brands you purchase, and feel nostalgic.

16.1 LEARNING OUTCOMES

After the successful understanding of this unit, you will be able to:

- discuss principles and practice of advertising;
- understand the advantages, objectives and limitations of advertising;
- help facilitate the use of different media and techniques of advertising;
- analyse the various appeals used in advertising;
- apply various advertising concepts and models; and
- plan and evaluate advertising effectiveness.

16.2 WHAT IS ADVERTISING?

16.2.1 Definition and Need of Advertising

One of the common definitions of advertising considers it as "any paid form of non-personal communication of information about products or ideas by an identified sponsor through the media in an effort to persuade or influence behaviour of the people in such a manner as to induce them to buy."

In spite of so many other forms of promotion, why do we need advertising? Production is incomplete without consumption. Customers will consume only when they are aware of the availability of the product in the market. This gap between production and consumption is filled by advertising. Through advertisements manufacturers draw consumer attention towards the product.

16.2.2 Evolution of Advertising in India

You can trace the evolution of advertising in India in the timeline below:

- ❖ 1780: James Augustus Hickey started Hickey's Bengal Gazette, the first newspaper to be published from India. It advertised trade and legal notices. With this print advertising started. It began with classified advertising.
- ❖ 1883: Horlicks becomes the first brand to be patented as 'malted milk'.
- ❖ 1605: B. Dattaram and Co. started its operations in Mumbai and it is the oldest ad agency.

- ❖ 1618: Tata Publicity, first professionally managed ad agency was started.
- ❖ 1620: Foreign owned ad agencies entered the Indian market.
- ❖ 1629: James Walter Thompson (JWT) ad agency started its India operations.
- ❖ 1639: The Indian and Eastern Newspaper Society (IENS) were founded. Lintas advertising agency was started and they launched Dalda, the first major example of branding.
- ❖ 1645: Advertising Agencies Association of India (AAAI) was started.
- ❖ 1648: Audit Bureau of Circulation (ABC) was founded.
- ❖ 1652: The Indian Society of Advertisers was formed.
- ❖ 1655: Advertisers' Club of Bombay (ACB) was set up.
- ❖ 1659: Telecasting of TV programmes commenced.
- ❖ 1667: First commercial was aired on Vividh Bharati, an AIR channel.
- ❖ 1670: Sponsored programmes on radio were introduced.
- ❖ 1676: Doordarshan (DD) was separated from AIR, the first TV commercial seen.
- ❖ 1682: Bombay Dyeing becomes the first colour TV ad.
- ❖ 1685: Advertising Standards Council of India (ASCI) was set up.

16.2.3 Advertising, Publicity and Propaganda

What are the similarities and differences among three of them? Let us have a look at it in the table below:

Advertising	Publicity	Propaganda
Giving information about a company or its products by non-personal means	Giving information about a company or its products by personal and / non-personal means	Majorly used as a form of political warfare
Always a commercial transaction, it encourages sales of products, services or ideas	May not be a commercial transaction	May not be a commercial transaction, it encourages change of personal beliefs and values
Source is always known	Source may not be always known	Source is always known
Always a paid form	May not be always paid for	May not be always paid for
All advertising is publicity	All publicity may not be advertising	All advertising may not be propaganda

16.2.4 Objectives of Advertising

Let us look at the purpose of advertising. Objectives of advertising can be classified broadly into two types, namely:

General Objectives	Specific Objectives
To inform	Induce trial
To persuade	Intensify usage
To remind	Sustain preference
	Confirm image
	Change habits
	Build line of acceptance

16.2.4.1 General Objectives

- **To inform:** Done to build primary demand & inform about new product availability. E.g. State bank of India.
- **To persuade:** The objective is to build demand for a particular brand. For E.g. Vodafone.
- **To remind:** Established products advertise to remind customers about the brand. E.g. Coca Cola.

16.2.4.2 Specific Objectives

- **Induce trial:** Advertisers use it to encourage the customer to try the new product. E.g. Vimgel.
- **Intensify usage:** It is done to get another consumer segment to try the product (mostly established brand). E.g. Cadbury's targeted older people by using Amitabh Bachchan
- **Sustain preference:** Established brands advertise to maintain their market share. E.g. Seagram's Imperial Blue.
- **Confirm image:** Established brands want to retain their image in the minds of the customer. E.g. Nescafe ad.
- **Change habits:** It is used to change the buying or consumption pattern of the target customers. E.g. Johnson and Johnson's baby wipes.
- **Build line of acceptance:** Is used to display the entire range of brands. E.g. Videocon ad.

16.2.5 Advantages and Limitations of Advertising

Advertising indeed is undoubtedly an inseparable part of marketing process. Let us look at what benefits it has for manufacturers and consumers.

Pros of advertising for the manufacturer:

- o It creates primary demand for the brands and hence results in increased sales.
- o After the initial sales continuous advertising will further ensure a steady demand for the brand.
- o Increased demand will ensure steady sales resulting in quicker turnover.
- o If the brand is being advertised steadily then over the years it will generate consumer goodwill for the brand.
- o If the demand of the brand is steady in the market then dealers also show interest in keeping/warehousing the brand.
- o Over the years manufacturers can sell the goods directly to the consumer and reduced dependence on middlemen will increase the profit as the commission given to these middlemen is saved.
- o Advertising will help salespersons in their sales process because it makes the brand known to maximum number of target consumers.

Pros of advertising for the consumer:

- o Advertisements inform the consumers about product availability.
- o As many products are advertised simultaneously, consumers can compare the brands and make a purchase decision. Of course, consumers may not rely on advertisements solely to do so.
- o Advertising increases the competition amongst the brands. Competing brands will improve the quality of the product in order to attract the target consumers. Hence, consumers will enjoy better quality of products.
- o By eliminating the middlemen consumers will enjoy the benefits of reduced prices.
- o As consumers are well-informed about the product availability and other details regarding the brand, they save their time in purchase decision making process.
- o Latest and upgraded products are advertised through advertising and consumers are persuaded to buy these products. This leads to improved standard of living of consumers.

Cons of advertising for the consumer:

- o Too many products on offer makes consumer ending up purchasing them unnecessarily.
- o Advertisements increase the price of the product, making it costlier.
- o Most of the advertisements are exaggerated, false, deceptive and misleading, thus giving wrong notion about the brand.
- o Manufacturers who have high advertising budgets advertise more thus sidelining those manufacturers who cannot afford to spend more on advertising. This results in brand monopoly and consumers may not be aware of the non-advertised products.
- o Too much of sex appeal is used in ads making them vulgar and demeaning.

Limitations of advertising:

- Advertisements can only pull consumers towards initial sale. If the products are of bad quality then advertising cannot guarantee sales the second time.
- Advertising can only persuade consumers and not compel them to buy.
- It is a one-way communication and as a result does not leave any scope for consumers to give feedback.
- Exaggerated forms of advertising makes advertisements less believable.

Check Your Progress 1

Note: 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

1. List three advantages and three disadvantages of advertising for consumers:

.....

.....

.....

.....

.....

2. List the general and specific objectives of advertising:

.....

.....

.....

.....

16.3 MEDIA FOR ADVERTISING

Advertising is a mediated form of communication and therefore it reaches consumers through some kind of media. One needs to understand the properties of these different media in order to optimally utilise them.

16.3.1 Print Advertising

This can be further classified into newspapers, magazines and yellow pages. All these three forms deal with literate people and hence provide the benefit of literate consumers. Newspaper advertisements are one of the oldest and popular forms of advertising. Newspapers help advertisers reach a large number of audiences. On the downside, it is a costly proposition as it does not give choice of niche audiences unlike magazine advertisements. Magazine contents are designed keeping select target readers hence advertisers can also choose target consumers strategically thus making it costly. Newspapers have limited shelf life, may be not more than 24 hours but magazines ads can be viewed again and again till the magazines are disposed of. Newspaper's paper quality is not very good hence the colour reproduction of advertisements is not very good whereas magazine ads give a better output due to glossy papers.

16.3.2 Television Advertising

This is one of the most popular and dominant media used by the masses. It is widely available, helps advertisers reach a large number of audiences in a short span of time and gives the maximum exposure. Due to its audio-visual feature, advertisements can be absorbed more quickly and in an elaborate manner by consumers. On the downside, it does not give choice of literate audiences, is one of the most expensive media to advertise in and therefore big businesses enjoy monopoly. Most ads are 30-45 seconds long and thus consumers get limited exposure and time to engage in the communication.

16.3.3 Radio Advertising

It is an audio medium and therefore messages need to be designed accordingly. As compared to TV it is less expensive. Advertising duration over here is also very short and audiences are not segmented properly. Possibility of switching the channel compared to TV is less as people listen to radio while engaging in another activity.

16.3.4 Online Advertising and New Media

This is the most recent yet one of the popular media. Internet is growing day by day and with this opportunities to advertise are also increasing. It has the power to blend print as well as television media that reaches unlimited audience in an inexpensive manner, audiences can be tracked and messages can be personalised. Audiences of these media are literate and global in nature. They can access more detailed information about the product in a single click. Orkut, Facebook, Twitter, YouTube, LinkedIn, Fropper and Ibibo are some social media platforms.

16.3.5 Outdoor Advertising

This medium works best when your target customers are not consuming media indoors. Advertisers use different outdoor tools such as hoardings, pole ads, electronic displays, wall paintings, banners, posters, and transit advertising. Transit advertisements are used in buses, trains and rickshaws. As compared to other media it is cost effective, can be easily used in crowded places, and very flexible in terms of placing the advertisements. Since the customers are mobile, longer messages cannot be used in these media and does not give advertisers choice of choosing the audiences.

16.3.6 Other Media

Included direct mail, telemarketing, film advertising, and window display. Catalogues, brochures, sales letters and prospectus and others are used through direct mails. Telemarketing and direct mails help in reaching to customers directly and in a personalised manner, the message is in complete control of the sender and can be hidden from the competition. Local products can be best advertised through film advertising. The limitation is film viewers seldom watch these advertisements as they are busy talking. Viewers visit the cinema hall just before the film starts and go out for snacks during interval when these ads are actually played.

Window display works best at point of purchase (POP). Carefully and creatively displayed products often catch customer's attention and create demand for that product. The trick is shop keepers must keep changing them regularly and price details must be mentioned to increase customer inflow.

Check Your Progress 2

Note: 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

1. Name different media of advertising:

.....

.....

.....

.....

.....

2. Give some examples of new media:

.....

.....

.....

.....

.....

16.4 ADVERTISING TECHNIQUES

A good advertising technique is one that focuses on society at large and individuals (potential buyers) in particular while keeping the basic communication intact. The key to it lies in understanding the product, the market and the customers.

16.4.1 Above the Line Advertising (ATL)

Is advertising done at macro level through mass media. It is a conventional method of advertising and is highly impersonal. ATL uses TV, radio, newspapers, magazines and outdoor media hence is very expensive. Brands are built through ATL and then later on with the help of BTL potential customers are influenced to take action.

16.4.2 Below the Line Advertising (BTL)

Is advertising done at micro level that uses unconventional brand building techniques and is a direct means of communication. BTL uses public relations, direct mail, sales promotion, personal selling, various types of price incentives and promotional offers e.g. coupons, gift with purchase, competitions, price refund and frequent buyer programs. BTL helps break through the advertising clutter and reach target groups (TG) in a cost effective manner.

16.4.3 Through the Line Advertising (TTL)

Traditional advertising techniques such as ATL and BTL are now blended by the marketers and advertisers to design a customised bouquet in the form of TTL or popularly known as Integrated Marketing Communications (IMC) activities. When marketers are combining both the techniques they are actually crossing the line hence the term TTL.

Note: 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

1. Expand the following:

- a. ATL
- b. BTL
- c. TTL

2. What do you mean by IMC?

.....

.....

.....

.....

16.5 DIFFERENT TYPES OF ADVERTISING APPEALS

Ads essentially carry an appeal in them and communicate with the audiences through them. These appeals work at the subconscious level of the customers. Appeals are distinctive claim of an advertisement used by advertisers to emphasize product features and attract customer attention and can be broadly categorized as emotional and rational. These appeals can be further classified as:

- ❖ **Fear appeal:** Uses moderate levels of fear to position the products work especially for products such as insurance, cosmetics, fairness cream etc. E.g. Himalaya Neem facewash advertisement.
- ❖ **Humour appeal** is very commonly used and has high ad recall as humour catches audience attention quickly. E.g. Emami Fair and Handsome cream featuring a well-known film actor.
- ❖ **Music appeal:** Music has some inherent value that helps in capturing audience attention. E.g. Lux advertisementsonglet(*Bekabu*)featuring Shahrukh Khan and Katrina Kaif.
- ❖ **Sex appeal:** Sensuality raises audience curiosity, but it needs to be strategically used. Improper usage may result in negative effect and may make your ad look vulgar. E.g. Wild stone deodorant advertisement.
- ❖ **Masculine feminine appeal:** This emphasises on product features that will be imparted to the consumer if he/she starts using your product. E.g. Hero Glamour ad.
- ❖ **Scarcity appeal:** It is often used to announce promotional and limited time period offers. E.g. Nano special edition.
- ❖ **Adventure appeal:** Advertisers associate product features and usage with fun and adventure and emphasise that customers' life will change drastically after the product use. E.g. Mountain Dew.

- ❖ **Bandwagon appeal:** It focuses on peer pressure. Since ‘everybody is consuming a particular product you should too’ is the theme of such ads. E.g. Airtel advertisement.
- ❖ **Testimonial appeal:** Here satisfied customers talk about good qualities of the product and share their positive experiences. E.g. all ads of Dove soap. They have used the same technique with their launch of new hair oil Dove Elixir.
- ❖ **Slice of life appeal:** The advertisement shows a real life problem faced by the customer that can be solved by using advertiser’s product. E.g. Harpic ad.
- ❖ **Snob appeal:** This creates a feeling of desire and envy for those products that have luxury and elegance associated to them. E.g. Volkswagen Polo and Vento ads.
- ❖ **Weasel words appeal :** Advertisers here claim that their product is the best wherein actually the claim is superficial and ambiguous. E.g. Kelloggs special K.

Check Your Progress 4

- Note:** 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

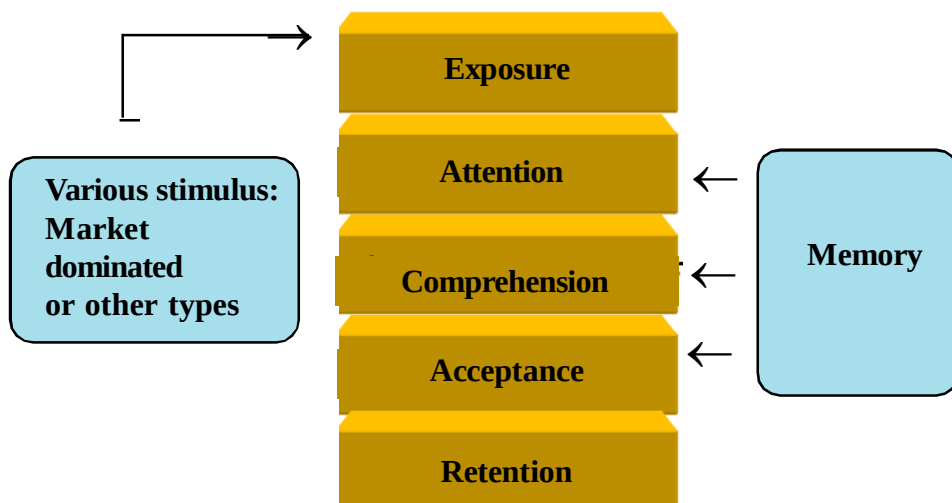
Fill in the blanks:

- a) _____ appeal is often used to announce promotional and limited time period offers.
- b) When the ad shows a real life problem faced by the customer that can be solved by using advertiser’s product, it is using _____ appeal.
- c) _____ appeal focuses on peer pressure.
- d) In _____ appeal advertisers associate product features and usage with fun and adventure and emphasise that customers’ life will change drastically after the product use.
- e) When advertisers claim that their product is the best wherein actually the claim is superficial and ambiguous, it is called _____ appeal.

16.6 ADVERTISING COMMUNICATIONS: BASIC CONCEPTS

16.6.1 Information Processing Model (IPM)

In 1960s William McGuire prepared this model and connected it to the concept of persuasion in ad effectiveness. IPM essentially discusses the behaviour and attitudinal changes in response to persuasive communication. Let us have a look at the outline of the model:



The above diagram explains information processing in five steps.

- **Exposure:** Customers are exposed randomly to brand related information through various media and non-media activities by all the market players simultaneously. The objective is to inform them about the product attributes.
- **Attention:** As per customers' interest they choose their ad message. Here, marketers face the challenge to attract TG's attention in the limited span of time.
- **Comprehension:** Based on the selective attention and interest area, customers will develop understanding of the brand. This is the stage where TG is curious about the brand and wants to know more about it.
- **Acceptance:** Out of the various shortlisted choices, customers accept a particular brand and reject another. This acceptance does not ensure that the decision will remain so forever and such scepticism can change their decision.
- **Retention:** In this phase, disbelief converts into stronger belief and customers adhere to their decision. Consumers are more determined to continue with the shortlisted brand.

Most importantly when information is travelling through these five stages, various stimuli generally marketer and advertiser dominated, must reach through them in order to create a long term memory. Memory plays an important role especially at stage two, three and four.

16.6.2 AIDA and DAGMAR Models

AIDA and DAGMAR are two models of consumer response to advertising and marketing activities. The AIDA model organizes the response into four stages, namely:

- ❖ **Attention:** Here advertisers encourage the audience to hear about the main idea of the advertisement. This is the first step to response; consumers' attention must be captured by emphasising on product's strong features, a genuine solution to the problem, the promise of savings through discounts etc. and by providing any common angle that can attract consumer attention. E.g. Lifebuoy hand wash advertisement.

- ❖ **Interest:** Once the attention is captured, then further interest is generated in the minds of the customer and more detailed picture of the message is painted. E.g. MamyPoko pants advertisement.
- ❖ **Desire:** It helps customers embrace the central idea by explaining how the change will benefit them. E.g. Fortune Rice Bran Oil advertisement.
- ❖ **Action:** The advertisement suggests the action advertisers want consumers to take. E.g. Fair and Lovely fairness cream and face wash advertisement featuring YamiGautam.

In 1961, Russel Colley proposed DAGMAR model. It is expanded as Defining Advertising Goals for Measured Advertising Results. As per this model, consumers' purchase decision goes through four stages, namely:

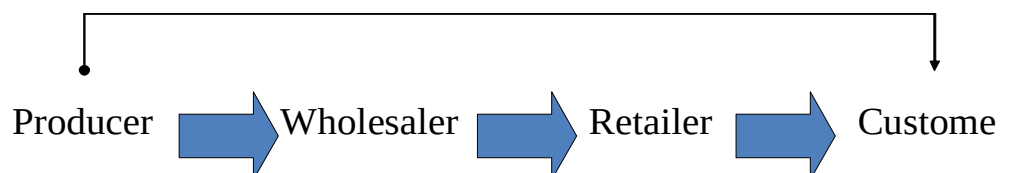
- ❖ **Awareness:** Consumers must be first made aware of the existence and availability of the brand and the company. Once this awareness is attained then companies must utilise it immediately. E.g. JustDial.com endorsements by Amitabh Bachchan.
- ❖ **Comprehension:** Here advertisers must focus on product benefits and give deeper understanding of the product. E.g. Colgate Super Flexi advertisement.
- ❖ **Conviction:** At this stage ads must build confidence in the minds of the customer so that they are compelled to buy the product. E.g. Sugarfree Natura ad.
- ❖ **Action:** In this, the focus is on buying and therefore ads emphasize on benefits of purchase by customers. E.g. Godrej Ezee advertisement.

16.6.3 Push and Pull Strategy

These are two main types of promotional strategy. In the push strategy, the producer lures wholesalers and retailers in the form of trade shows, direct selling, subsidies, high commission rates, POP displays and others to stock their products and push it towards the customer as explained in the figure below:



Customers may not experience the push strategy as it is directed towards distributors whereas pull strategy aims at the end customer. Through various promotional strategies such as advertising, word of mouth, etc. the product is pulled through the channel by customer demand as explained below:



Push strategy is comparatively more interactive and works best in impulse buying product categories. Companies generally use combination of both the strategies to increase sales.

16.6.4 What is Brand?

A positive brand image is a valuable asset of the company. Brands are visual identity of the product in the form of logo, colour, labelling, name, tagline, shapes, and graphics among others. It helps customers identify brand 'A' versus brand 'B'. This process of creating a unique brand name and position in the market through advertising and marketing campaigns is called branding process. A good brand name must be unique, easy to pronounce, identifiable, must have recall value, talk about product's qualities and benefits, have legal protection, and must not have wrong meanings associated to that word especially when it is extending in other market.

16.6.5 Slogans, Jingles, Trademarks, Logo, and Mascot

These are important ingredients of branding process and distinguish a company with that of its competition. A well designed logo enhances the brand value, gives a unique identity to the product, must be easily recognisable, build trust, make product look more professional, and help consumers to associate the brand with the company.

A slogan is a watchword, short catchy phrase or motto used in advertising, generally along with the logo. It is one of the most appealing tools to be used in the branding process and is often called fingerprint of the brand. It connects consumers with the brand and can change their perception. Slogans may change depending on the campaign. E.g. Coca Cola keeps changing their slogans quite often. In 2000's their 'Thanda Matlab Coca-Cola' campaign with Amir Khan was worth noticing. In 2012 they launched their 'Open Happiness' with Coke campaign. In between they had three more slogans namely 'Piyo Sar Uthake', 'Jo Chaheho Jaye Coca-Cola Enjoy' and 'Burrrrrr'.

Slogans are sometimes paired with jingles, a short tune used in advertising. Like slogans, jingles also need to be catchy, must be memorable, and be able to create familiarity and desire for the product. It happens with many of us, we hear a jingle on the radio or television and it gets into our head and the effect is long lasting. Jingles are one of the classic examples of sound branding.

Many a times companies use mascots also in advertising campaigns. Mascots are a highly visible part of the brand and can take the advertising campaign to a next level. It gives the brand a personality. While designing mascots, one has to ensure that the image must be associated with the brand image.

The most important legal shield of the brands is trademarks. These can be symbols, logos, words or slogans. Companies register them and create ownership and exclusive right to use them. Companies may extend trademark protection to packaging, colours, numerical, shape of goods, smell, sound, movement and holograms. Basically, it is anything that distinguishes goods of one company from another. Anybody who infringes them, legal action can be taken against them.

16.6.6 USP

Unique Selling Proposition or Unique Selling Point is a marketing concept which was introduced by Rosser Reeves. It can be a real or perceived benefit that customers seek from the product than that of its competitor. The purpose of having a USP is that the target audience must be convinced of the reason to buy

a product. This proposition must be something that has not been claimed yet by other marketers and only your product is offering or claiming to offer it first. Generally, the advertising campaign is built around USP.

Check Your Progress 5

Note: 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

1. What are the steps involved in information processing model:

.....

.....

.....

.....

2. What is USP?

.....

.....

.....

.....

3. Expand AIDA and DAGMAR:

.....

.....

.....

.....

4. What do you mean by brand?

.....

.....

.....

.....

5. **Fill in the blanks:**

- a. A well designed logo enhances the _____ and gives a unique identity to the product.
- b. _____ is a watchword, short catchy phrase, motto used in advertising, generally along with the logo.
- c. A short tune used in advertising is called _____.
- d. While designing mascots, one has to ensure that the image is happy and _____ colours are used.
- e. _____ provides legal shield to the brands.

16.7 THE ADVERTISING MANAGEMENT PROCESS

16.7.1 Advertising Strategy

A company's advertising strategy should always support its marketing strategy and the company plans. When doing strategic planning advertisers need to be creative and flexible. A rigid strategy may often lead to loss of market share. Depending on the goals of the business one may choose push or pull techniques to set the strategies. Strategic planning goes through following steps:

16.7.1.1 Setting Objectives

The first and foremost step in strategic planning is setting objectives. Objectives are statements that explain what needs to be attained by taking benefit of opportunities and overcoming any barriers. When setting objectives, advertisers need to understand the goal of the campaign. Depending on the goals of the company, it can be short term or long term. Short term objectives focus on customers' action i.e. on the purchase and long term objectives focus on change in brand attitude. These objectives are further classified as direct and indirect.

Direct objectives focus on increased sales, development of new distribution channels, increased profitability whereas indirect objectives focus on changing attitudes and increasing awareness.

16.7.1.2 Formulating Budget

The advertising budget is actually one of the important components of marketing budget. Advertisers must first analyse the expected results and then only invest in any campaign. Campaign goals and objectives must be first determined and budget should be set accordingly. A well planned budget helps in effective utilization of funds and avoids wastage. There are different techniques of setting the ad budget which are discussed below:

- Based on previous years' expenditure on advertising.
- Percentage of sales technique, here advertisers assess the annual sales and then set budget.
- At par with competition, meaning whatever is spent by the competition equal budget is set by the advertisers.
- Objective-based budget, here advertisers first consider the available funds and then either cut the number of objectives or prioritize them according to the existing funds.

16.7.1.3 Creating Advertising Messages

Designing an advertising message is considered as the most creative part of the campaign. Creativity does not have any limitation and therefore the messages can be designed in multiple ways beyond imagination. One has to take cue from the objectives to write a precise message.

16.7.1.4 Selecting Media and Vehicles

Selecting media and vehicles is also known as 'media scheduling'. It is a strategic process where media planners do a lot of research before taking final decisions.

The key here is to choose the most cost effective media to reach to the focussed target audience. Media planners make a 'media mix' as their own customized recipes as the needs arise. Media mix simply means the right combination of each medium to reach to its target audiences. The choice of media can be from both print (newspapers, magazines and direct mail) and electronic media (radio, television, and internet). While preparing media mix, one has to check these simple tips:

- ✓ Optimum utilisation of your resources: try to make a mix that shall reach to as much large audience as possible while reducing wastage.
- ✓ Reach with high frequency: Constantly making your presence felt will have high register and recall value.
- ✓ Know your customer: Understand his/her media consumption for better reach.
- ✓ Do your homework: Research well before going on floor. The duration of advertising campaign along with the timing of advertisements needs to be strategically planned for campaign success. Check reach and coverage, cost of the media vehicles, nature of your product, business goals, campaign goals, and your audience profile.
- ✓ More money spent will not always ensure success of the advertising campaign.
- ✓ Negotiate with media houses for competitive prices.

16.7.2 Strategy Implementation

Once an effective plan is made it needs to be carefully executed and that is when strategic implementation comes into picture. At the end of the day, any organization is people oriented and any strategy cannot be executed without active involvement of the employees of the organization. The second step is to assess the budget requirements and match it with strategy implementation. Then, assign roles and responsibilities to designated people and most importantly give deadlines to them. Put simply, have a meticulous communication plan ready before implementation.

16.7.3 Assessing Advertising Effectiveness

Measuring and evaluating advertising effectiveness is extremely important not only for the current campaign but it also gives direction for all future campaigns. The ultimate goal of any advertising is either to assist sales team in increasing sales or help marketing team in increasing brand awareness. This is measured by calculating R3: Reach, resonance and reaction. Reach is the penetration of your advertisement amongst your target audience. Resonance will tell you how effectively and in a qualitative manner you have reached them. Reaction is how your target responded to your message.

Check Your Progress 6

Note: 1) Use the space provided below for your Answers.
2) Compare your answers with those given at the end of the unit.

1. Name different types of setting of advertising budget?

.....

.....

.....

2. What is media mix?

.....

.....

.....

.....

3. R3 stands for:

.....

.....

.....

.....

16.8 LET US SUM UP

In this unit we discussed basic principles and practices of advertising. We learnt about key concepts that are commonly used in advertising business and tried learning about prime objectives, advantages and limitations of advertising.

Advertising cannot reach people without mass media tools and therefore we took an overview of various media vehicles and looked at strengths and weaknesses of each of them. To understand advertising in depth one has to know the techniques and appeals used in ads, we also learnt about it.

We tried discussing few important advertising models followed by advertising management process wherein we had an overview of strategy planning, setting budget, implementing and assessing effectiveness of it.

16.9 FURTHER READINGS

Broadbent, Simon (1989), The Advertising Budget: The advertisers' Guide to Budget Determination, London, NTC Publications for the Institute of Practitioners in Advertising.

Chaudhuri, Arun (2007), Indian Advertising from 1780 to 1950 A.D., Delhi, Tata Mc Graw-Hill Education.

Gupta, Oma (2005), Advertising in India: Trends and Impact, Delhi, Gyan Publishing House.

Mc Guire WJ (1996), Information processing Model of Ad Effectiveness, Journal of Business Research, Amsterdam, Elsevier, Inc

Mac Rur, Ian (2009), Advertising: Routledge Introductions of Media and Communication, London, Routledge Publications.

Mohan (1989) Advertising Management: Concepts and Cases. Delhi, Tata Mc Graw Hill Education

Jefkin and Jefkin, Frank (1992), Advertising : The M & E Handbook series, New Delhi Pearson Education India

Petty, Julian (2003), Advertising Media wise, Mankato, Black Rabbit Books.

Sutherland, Max (2009), Advertising and the Mind of the Consumer: What Works, What Doesn't, and Why, New South Wales, Allen & Unwin.

Tellis Gerard J (2004) Effective advertising : Understanding when, how and why advertising works: Marketing for a New Century, New York, SAGE Publications.

Vilani, JV and Verghese AK (2004), Advertising Basics: A Resource Guide for Beginners, New Delhi, SAGE Publications.

Wells (2007), Advertising : Principles and Practice, New Delhi, Pearson Education India

16.10 CHECK YOUR PROGRESS: POSSIBLE ANSWERS

Check Your Progress 1

1.
 - a) Three advantages of advertising to the customers are that it informs about product availability, helps make purchase decision and improves the standard of living.
 - b) Three disadvantages of advertising are that customers end up purchasing unnecessarily, it increases product price and advertisements may be false and misleading.
2.
 - a) General objectives are to inform, to persuade and to remind.
 - b) Specific objectives are to induce trial, to intensify usage, to sustain preference, to confirm image, to change habits and to build line of acceptance.

Check Your Progress 2

1. Print, television, radio, online and new media, outdoor, direct mail, telemarketing, film, and window display.
2. Facebook, Orkut, YouTube, LinkedIn, Fropper, Twitter, Ibibo and others.

Check Your Progress 3

1. (a) Above the Line (b) Below the Line (c) Through the Line
2. In Integrated marketing communication campaigns, marketers blend both above the line and below the line techniques i.e. they use mass media tools along with public relations, direct mail, sales promotions and personal selling to reach their target customers.

Check Your Progress 4

- a) Scarcity (b) Slice of life (c) Bandwagon (d) Adventure (e) Weasel words

Check Your Progress 5:

1. Exposure, attention, comprehension, acceptance, retention.
2. Unique Selling Proposition is a marketing concept which can be a real or

perceived benefit that customers seek from the product than that of its competitors and the target customers must be convinced of the proposition to buy the product.

3. AIDA stands for Attention Interest Desire Action and DAGMAR stands for Defining Advertising Goals for Measured Advertising Results.
4. Brand is a name, term, design, symbol, or a combination of them, intended to identify the goods and services of one seller or group of sellers and to differentiate them from competitors.
5. (a) Brand value (b) Slogan (c) Jingle (d) Bright (e) Trademarks

Check Your Progress 6

1. Based on previous years' expenditure on advertising, percentage of sales technique, at par with competition, and objective-based budget.
2. Right combination of media to reach the target audience.
3. Reach, resonance and reaction.



ignou
THE PEOPLE'S
UNIVERSITY